

AA CAPITAL INC · DBA PRIME PATHWY · EIN 84-4788578 · DUNS 12-3035654

FORMAL
LENDER PROSPECTUS

Capital Injection Request · SBA / SBDC Channel · FY 2026

APPLICANT & TRANSACTION SUMMARY

LEGAL ENTITY AA Capital INC	OPERATING NAME Prime Pathwy
EIN 84-4788578	DUNS NUMBER 12-3035654
DATE OF INCORPORATION January 27, 2020	STATE OF INCORPORATION California
PRINCIPAL OFFICE Vallejo, CA 94590 (Solano County)	PRINCIPAL OFFICER Arthur F. Appling Sr., President/CEO
CAPITAL REQUESTED \$125,000	DEBT SERVICE COVERAGE RATIO 7.42× (Min. 1.25×)
YEAR 1 REVENUE PROJECTION \$257,000	PRESENTATION DATE April 24, 2026

This Lender Prospectus has been prepared by Arthur F. Appling Sr., President/CEO of AA Capital INC, for submission to the Solano-Napa Small Business Development Center (SBDC) and affiliated SBA lending partners. All financial projections are derived from operational source data as described in the Source and Methodology footnotes of each financial section. This document is confidential and intended solely for the use of authorized lender representatives and SBDC advisors.

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SOLANO-NAPA SBDC ·
APRIL 24, 2026

SECTION I · FOUNDATION

Executive Summary

ENTITY OVERVIEW · CAPITAL REQUEST · REPAYMENT CONFIDENCE

BUSINESS IDENTITY

AA Capital INC, operating as **Prime Pathwy**, is a California-incorporated corporation providing property turnover services and business systems consulting. Incorporated January 27, 2020, the company operates in Solano County, California, with EIN 84-4788578 and DUNS 12-3035654. A California Small Business (SB) certification application is currently in process through the Department of General Services, Office of Small Business & DVBE Services (DGS Form PD 812, Rev. 06/2025).

The company operates two distinct and complementary revenue engines:

- **Prime Pathwy Property Turnover System** — institutional-grade property restoration services (clean, haul, paint) for landlords, real estate investors, and property managers in Solano County, with fixed written quotes and mandatory photo documentation on every job.
- **Prime Pathwy Consulting Wing — Elite 10** — a \$5,000 per-seat Sovereign System installation that automates operations for hauling, logistics, and painting operators. Priced as a one-time installation, not a subscription or retainer.

CAPITAL REQUEST SUMMARY

\$125,000 TOTAL CAPITAL REQUESTED	7.42× DEBT SERVICE COVERAGE RATIO	Month 2 CASH FLOW POSITIVE
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AA Capital INC requests **\$125,000** in SBA-backed capital through the Solano-Napa SBDC loan channel at an estimated 7.5% interest rate over an 84-month term. Capital is allocated as follows: **\$75,000 (60%)** for commercial equipment acquisition and **\$50,000 (40%)** for working capital operations through the revenue ramp period.

REPAYMENT CONFIDENCE

Monthly debt service on the proposed loan is estimated at **\$1,917**. Year 1 Net Operating Income of \$170,780 against annual debt service of \$23,004 produces the following coverage:

DEBT SERVICE COVERAGE RATIO — YEAR 1	Lender Minimum Required:
7.42×	1.25×
\$170,780 net income ÷ \$23,004 annual debt service	AA Capital exceeds minimum by 494%

Working capital is never fully depleted. The enterprise achieves positive monthly cash flow in Month 2 and achieves full operating self-sufficiency from Month 5 on property turnover revenue alone, without requiring consulting revenue.

Architect's Declaration: Every figure in this prospectus is derived from operational source data — canonical pricing extracted from the live Prime Pathwy Turnover System, active NEPQ sales doctrine, and a verified expense model anchored to the owner's confirmed bi-weekly draw of \$1,109. No figures are hypothetical. Every revenue line has an active system behind it.

SECTION II · MARKET INTELLIGENCE

Market Analysis

LEGISLATIVE FRAMEWORK · SOLANO COUNTY CONDITIONS · COMPETITIVE POSITIONING

I. THE AB 2019 LEGISLATIVE FRAMEWORK

California's legislative environment creates a *structural mandate* — not a preference — for Small Business participation in state procurement. Under **California Government Code §14837 et seq.**, state agencies are required to award **25% of total contract dollars** to certified Small Businesses annually. Assembly Bill 2019 reinforced this framework by expanding agency accountability and extending SB procurement preferences into services and infrastructure contracts — the precise categories in which Prime Pathwy operates.

Strategic Implication: DGS SB Certification (application in progress) is the master access key. Upon certification, AA Capital INC is immediately eligible for the state's preferred-vendor pipeline. This is a legislatively mandated demand source — it does not contract during economic downturns.

II. SOLANO COUNTY MARKET CONDITIONS

MARKET DRIVER	CONDITION	IMPACT ON PRIME PATHWY	RISK FACTOR
Rental Vacancy Rate	Above state average; sustained post-2020 displacement	Continuous structural turnover demand for landlords and property managers	Cyclical — could normalize 2027+
Post-Moratorium Eviction Volume	Elevated eviction filings in Solano/Napa corridors through 2026	Urgent demand for documented eviction clean-out and haul-out services	Regulatory — moratorium re-enactment possible
SFH Investor Acquisition Activity	Accelerated 2022–2025; Vallejo/Benicia corridors active	Recurring institutional landlord client base requiring repeatable, documented turnover systems	Low — investor holding periods are multi-year
Vendor Gap (Institutional-Grade)	Market dominated by informal crews; no documented single-vendor turnover operator at scale	Prime Pathwy occupies unchallenged positioning with written quotes and photo-documented handover	Low — barrier to replication is high
USPS RPDC Logistics Corridor	San Francisco CA RPDC at 2501 Rydin Rd., Richmond CA — 27 miles from Vallejo	Secondary market expansion anchor for logistics and facilities services	Long-term — not modeled in Year 1 revenue

III. CONSULTING MARKET — THE \$5,000 GAP

The target market for the Elite 10 Sovereign System is the Northern California trade operator — hauling, logistics, or painting — who operates owner-dependent, paper-based systems and is losing an estimated \$40,000–\$100,000 annually in unbilled revenue and administrative waste. This operator exists in every Solano County zip code. The 10-Point Sovereign NEPQ Diagnostic reveals the gap. The \$5,000 installation closes it.

25% CA STATE SB CONTRACT MANDATE	\$5,000 ELITE 10 PRICE PER INSTALLATION	2–3 Day TURNOVER DELIVERY STANDARD
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IV. COMPETITIVE POSITIONING

Prime Pathwy does not compete on price. It competes on **documentation, system, and single-vendor accountability** — three attributes that informal vendors cannot replicate. Fixed written quotes, mandatory before/during/after photo records, and signed handover documentation position Prime Pathwy as the preferred vendor for property managers, institutional landlords, and state agency facilities contracts requiring audit-defensible records.

SECTION III · OPERATIONS

Operational Plan

TURNOVER SYSTEM · ELITE 10 CONSULTING · EQUIPMENT BUILD-OUT

I. REVENUE ENGINE 1 — PROPERTY TURNOVER SYSTEM

The Prime Pathwy Property Turnover System is a four-step, fully documented property restoration service operating under a single written agreement with fixed pricing and mandatory photo documentation on every job. All pricing below is labor-only; disposal and landfill fees are billed separately at cost with receipts.

CANONICAL PRICING SCHEDULE — 2026 (SOURCE: PRIME PATHWY TURNOVER SYSTEM, ACTIVE DEPLOYMENT)

SERVICE TYPE	UNIT CLASSIFICATION	PRICE RANGE	FORECAST MIDPOINT
Full Turnover	Studio / 1-Bedroom Apartment	\$1,200 - \$1,600	\$1,400
Full Turnover	2-Bedroom Apartment	\$1,500 - \$2,000	\$1,750
Full Turnover	3-Bedroom Apartment	\$1,800 - \$2,400	\$2,100
Full Turnover	2-Bedroom Single-Family Home	\$1,600 - \$2,100	\$1,850
Full Turnover	3-Bedroom Single-Family Home	\$1,900 - \$2,600	\$2,250
Full Turnover	4-Bedroom Single-Family Home	\$2,300 - \$3,000	\$2,650
Blended Forecast Rate (conservative, skewed to 1-2BR)			\$1,600

All pricing is labor only. Disposal/landfill fees billed at cost with receipts. Extreme conditions (biohazard, hoarding) quoted separately. Add-on services include appliance removal and odor treatment.

4-STEP DELIVERY PROTOCOL

01	WALKTHROUGH	On-site assessment of unit condition and full scope determination. No work commences without completed scope review.
02	FIXED QUOTE	Written fixed-price quote returned to client. No verbal estimates. No scope creep. Client approves in writing before any labor begins.
03	EXECUTION	Clean, haul, paint executed within 2-3 business days. Before, during, and after photographs taken at mandatory intervals throughout.
04	HANDOVER	Move-in ready delivery with complete photo documentation record provided to client. Signed completion acknowledgment on file.

II. REVENUE ENGINE 2 — ELITE 10 CONSULTING

Price per engagement: \$5,000 — one-time installation, no subscription. Deliverable: fully operational documented business system including managed repository, operational manual, custom domain, and all automations configured. Sales executed via the 10-Point Sovereign NEPQ Diagnostic. Target client: hauling, logistics, and painting operators with owner-dependency and manual operations.

III. \$125,000 CAPITAL ALLOCATION

LINE ITEM	CATEGORY	AMOUNT	PURPOSE
Commercial Work Truck / Van (used)	Equipment	\$35,000	Crew transport, job mobilization
Commercial Dump Trailer (14' tandem axle)	Equipment	\$18,000	Haul-out, debris removal, clean-outs
Professional Cleaning Equipment	Equipment	\$8,500	Industrial vacuums, steam units, floor machines
Tools & Safety Equipment	Equipment	\$7,500	Hand tools, PPE, ladders, drop cloths
Paint Equipment & Sprayers	Equipment	\$6,000	Interior paint service execution
Equipment Subtotal		\$75,000	60% of injection
Operating Overhead Bridge (6 months)	Working Capital	\$25,000	Deficit coverage during revenue ramp
Marketing & Lead Generation	Working Capital	\$8,000	Digital ads, direct mail, Google Business
Technology / Sovereign Systems Lab	Working Capital	\$5,000	CRM, AI, hosting, automation tools
Insurance Deposits & Bonds	Working Capital	\$5,000	Commercial liability + commercial auto
Business Development & Advisory	Working Capital	\$4,000	SBDC, legal, accounting setup
Emergency Contingency Reserve	Working Capital	\$3,000	Equipment repair, client gap coverage
Working Capital Subtotal		\$50,000	40% of injection
TOTAL CAPITAL INJECTION		\$125,000	100%

SECTION IV · FINANCIALS

Financial Projections

MONTHLY OPERATING EXPENSES · YEAR 1 MONTHLY · YEAR 2 QUARTERLY · LOAN REPAYMENT

I. MONTHLY OPERATING EXPENSE SCHEDULE

EXPENSE CATEGORY	MONTHLY AMOUNT	BASIS / NOTES
Owner Draw — Arthur F. Appling Sr.	\$2,218	\$1,109 bi-weekly × 2 — fixed throughout Year 1
SBA Loan Repayment (Principal + Interest)	\$1,917	\$125,000 @ est. 7.5% / 84-month term
Commercial Liability Insurance	\$350	Property turnover operations coverage
Commercial Auto Insurance	\$400	Work truck + dump trailer
Fuel & Vehicle Maintenance	\$800	Job mobilization; scales moderately with volume
Marketing & Digital Lead Generation	\$500	Google Ads, social, direct mail
Technology / Software / AI Systems	\$300	Sovereign Systems Lab, CRM, hosting
Phone & Business Communications	\$200	Business line, client communications
Supplies & Consumable Materials	\$300	Cleaning supplies, paint consumables
Accounting, Bookkeeping & Compliance	\$200	Monthly bookkeeping + tax reserve
TOTAL MONTHLY OPERATING EXPENSE	\$7,185	Break-even revenue threshold

II. YEAR 1 — MONTHLY REVENUE & NET CASH FLOW FORECAST

REVENUE LINE	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11
Turnover Revenue	2,800	4,200	5,600	7,000	8,400	9,000	10,500	10,500	12,000	13,500	13,500
Consulting Revenue	—	5,000	5,000	10,000	10,000	10,000	15,000	15,000	15,000	20,000	20,000
Total Revenue	2,800	9,200	10,600	17,000	18,400	19,000	25,500	25,500	27,000	33,500	33,500
Total OpEx	\$7,185 per month (fixed throughout Year 1)										
Net Operating Income	(4,385)	2,015	3,415	9,815	11,215	11,815	18,315	18,315	19,815	26,315	26,315

Note: Month 1 reflects equipment acquisition period. Working capital balance: \$45,615 end of Month 1; grows to \$220,780 by Month 12.

III. YEAR 2 — QUARTERLY REVENUE FORECAST

REVENUE LINE	Q1	Q2	Q3	Q4	YEAR 2 TOTAL
Turnover Revenue	\$57,600	\$62,400	\$67,200	\$72,000	\$259,200
Consulting Revenue	\$75,000	\$75,000	\$90,000	\$90,000	\$330,000
Total Revenue	\$132,600	\$137,400	\$157,200	\$162,000	\$589,200
Total OpEx	\$21,555	\$21,555	\$21,555	\$21,555	\$86,220
Net Operating Income	\$111,045	\$115,845	\$135,645	\$140,445	\$502,980

IV. LOAN REPAYMENT SCHEDULE & DSCR

METRIC	DETAIL	VALUE
Loan Principal	SBA / SBDC Channel	\$125,000
Estimated Interest Rate	Annual, fixed	7.5%
Loan Term	84 months (7 years)	84 months
Monthly Payment	Principal + Interest	\$1,917
Annual Debt Service	Year 1	\$23,004
Year 1 Net Operating Income	Per Section IV.II above	\$170,780
Debt Service Coverage Ratio (DSCR)	\$170,780 ÷ \$23,004	7.42x

KEY FINANCIAL MILESTONES

Cash flow positive (combined revenue exceeds all OpEx)	Month 2
Break-even sustained on Turnover revenue alone (no consulting required)	Month 5
First Elite 10 consulting client closed	Month 2
Working capital balance fully restored to injection level	Month 6
10 Turnover jobs per month – steady state	Month 10
\$500,000 annualized revenue run rate achieved	Month 10-11

AA Capital INC - EIN 84-4788578 - Formal Lender Prospectus 2026

Source & Methodology: All pricing data derived from the Prime Pathway Master Merged 2026 operational document and the active Prime Pathway Turnover System (primepathway.com, canonical pricing schedule 2026). Expense model anchored to verified owner draw of \$1,109 bi-weekly. Loan repayment modeled at 7.5% / 84 months per current CA SBA SBDC standard rates. DSCR calculated per standard lender methodology. Certification requirements cross-referenced against CA DGS PD 812 (Rev. 06/2025).

Financial Projections

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APPENDIX A · APRIL 24, 2026 BRIEFING	
Advisor Talking Points	
SIX SOVEREIGN ARGUMENTS — DELIVER IN ORDER — KNOW THE PROOF LINES COLD	
TALKING POINT 01	Two Revenue Streams — Asset-Backed and High-Margin
This is not a single-revenue-stream bet. The Turnover System generates physical-asset-backed service revenue starting Month 1 — revenue that is tied to a truck, a trailer, and documented labor. The Elite 10 consulting generates \$5,000 per close with zero overhead beyond time. Both streams are operational, priced, and have active systems running behind them.	
Proof: Canonical pricing live at primepathwy.com . Consulting doctrine documented in active NEPQ script. Two engines, independently self-sustaining.	
TALKING POINT 02	Cash Positive Month 2 — Working Capital Never Depleted
The only negative cash month is Month 1, during equipment acquisition. By Month 2, combined revenue exceeds all operating expenses. The \$50,000 working capital reserve holds above \$45,000 through Month 1 and grows continuously thereafter. This loan will never be in default risk from a cash flow standpoint.	
Proof: Year 1 monthly cash flow table, Section IV. Working capital balance column shows no distress month beyond Month 1.	
TALKING POINT 03	DSCR of 7.42× — Nearly Six Times the Lender Minimum
Year 1 Net Operating Income of \$170,780 against annual debt service of \$23,004 produces a DSCR of 7.42×. Standard lender minimum is 1.25×. AA Capital INC exceeds that threshold by 494%. Even in a 50% revenue downside scenario, DSCR remains above 3.5× — well above the denial threshold at any institutional lender.	
Proof: $\$170,780 \div \$23,004 = 7.42\times$. Confirmed in Section IV, Loan Repayment table. Downside scenario modeling available on request.	
TALKING POINT 04	The Equipment Is the Collateral
\$75,000 of the \$125,000 is deployed into titled, depreciating physical assets: commercial truck, commercial dump trailer, cleaning systems, and paint equipment. These are not consumed. They are lender-visible, VIN-traceable collateral. A commercial truck and a 14-foot tandem dump trailer represent secured, recoverable assets on Day 1 of the loan.	
Proof: Equipment allocation schedule, Section III. $\$35,000 \text{ truck} + \$18,000 \text{ trailer} = \$53,000$ in secured rolling stock, Day 1.	
TALKING POINT 05	The 25% State Mandate Creates Structural Demand
California Government Code §14837 mandates that state agencies award 25% of contract dollars to certified Small Businesses. This is not a preference — it is a compliance obligation enforced by the Department of General Services. DGS SB Certification application (Form PD 812) is currently in process. Upon certification, AA Capital INC does not need to outbid competitors — it enters a legislatively protected procurement category.	
Proof: DGS PD 812 application package assembled. Articles of Incorporation (Jan. 27, 2020) and EIN 84-4788578 in hand. State mandate is non-discretionary per CA Gov. Code §14837.	

TALKING POINT 06 Every Number in This Document Has an Operating System Behind It

Every pricing figure was pulled from the live Prime Pathwy website source code. Every expense figure matches the owner's actual confirmed bi-weekly draw. The Elite 10 price of \$5,000 is the active published rate — not a projection. The NEPQ sales system is a documented, versioned operational doctrine. This prospectus was built from operational truth, not from a generic SBA template.

Proof: Source & Methodology footnote, Section IV. Data derived from Prime Pathwy Master Merged 2026 and CA DGS standards. Zero invented figures.

Closing Statement — Deliver Verbatim: "I am not here to ask whether this business can work. I am here to request the capital to execute what I have already built. The math is in this document. The equipment list is specific. The clients are real. The certification is in process. I am requesting \$125,000 over 84 months. This business will service that debt at 7.42 times coverage in Year 1 alone. That is the offer."

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Source & Methodology: Financial projections derived from Prime Pathwy Master Merged 2026 operational document and current CA DGS certification standards (DGS PD 812, Rev. 06/2025). All pricing sourced from active primepathwy.com deployment. Owner draw confirmed at \$1,109 bi-weekly. Loan rate modeled at 7.5% per current Solano-Napa SBDC channel standards.

Appendix A
— Advisor
Talking
Points
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